

International Financial Transactions Act, 1998

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Amending Acts

1. Republic Strengthening and Some Nepal Laws Amendment Act, 2066 (2009) 2066.1.7
2. Some Nepal Acts Amendment Act, 2075 (2018) to Make Conformable with the Constitution of Nepal 2075.11.19

Act No. 21 of the year 2054 (1997)

An Act Made to Provide for International Financial Transactions

Preamble: Whereas it is desirable to develop the economy of the nation in the context of the open, liberal and market-oriented economic policy adopted by the country and the globalization of the international financial market, to develop Nepal as an international financial transactions centre, and to regulate and systematize the financial activities of international financial institutions in Nepal;

Now, therefore, Parliament has enacted this Act in the twenty-sixth year of the reign of His Majesty King Birendra Bir Bikram Shah Dev. 1. Short title and commencement: (1) This Act may be called the ?International Financial Transactions Act, 2054 (1997).?

(2) This Act shall come into force on such date as the Government of Nepal may, by notification in the Nepal Gazette, appoint. 2. Definition: Unless the subject or context otherwise requires, in this Act,-

(a) ?International financial transaction? means any financial transaction conducted by a licensed institution pursuant to this Act.

(b) ?International financial institution? means a financial institution under section 4.

(c) ?Promotion Committee? means the International Financial Transactions Promotion Committee constituted under section 9.

(d) ?License? means a license granted under section 14 for conducting international financial transactions pursuant to this Act.

(e) ?Licensed institution? means an international financial institution that has obtained a license to conduct international financial transactions pursuant to this Act.

(f) ?Implementation Committee? means the International Financial Transactions Implementation Committee constituted under section 11.

(g) ?Person resident in Nepal? means any of the following persons:

(1) A Nepali citizen, other than a Nepali citizen who, by way of employment, trade or any other occupation or for any other work, is residing outside Nepal for a period longer than the prescribed period Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.;

(2) A non-Nepali citizen who is residing in Nepal for a period longer than the prescribed period by way of employment, trade or any other occupation or for any other work;

(3) Any institution registered in Nepal pursuant to the prevailing law.

(h) ?Prescribed? or ?as prescribed? means prescribed or as prescribed in the rules made under this Act. 3.

License required: An international financial institution desiring to conduct international financial transactions shall obtain a license from the Implementation Committee under section 14. 4.

Financial institutions eligible to obtain license: (1) Only the following financial institutions may obtain a license to conduct international financial transactions pursuant to this Act:- (a) Foreign banks and trust companies; (b) International insurance and reinsurance companies; (c) Companies acting as a representative office of foreign companies; (d) Foreign holding investment companies; (e) Administrative or regional offices established by foreign financial companies; (f) International trading companies; (g) International financial companies; (h) Foreign real estate holding companies; (i) Foreign patent and royalty companies; (j) Foreign mutual funds; (k) International leasing companies; (l) International merchant banks; (m) Bodies such as foreign partnerships and trusts established as organized entities; (n) Companies conducting international sales transactions; (o) Foreign bodies authorized to operate non-resident pension and deferred bonus schemes; (p) International financial companies providing financial services such as securities brokers, underwriters, investment advisers, pension fund advisers. (2) Notwithstanding anything contained in subsection (1), in order to obtain a license under this Act, such financial institution shall be registered under the law of a country outside Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. and shall have been engaged in international financial transactions for at least three years. (3) The Government of Nepal may, on the recommendation of the Promotion Committee, by notification in the Nepal Gazette, make such changes, additions or deletions as necessary to the financial institutions mentioned in subsection (1). 5. Acts not to be done by international financial institution: An international financial institution shall not do the following acts:- (a) Purchase or otherwise acquire in its name any immovable property within Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.; (b) Conduct any type of international financial transaction with a person resident in Nepal; (c) Purchase shares or debentures of any company established in Nepal pursuant to the prevailing law; (d) Open an account with a commercial bank situated in Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.. Provided that, with the approval of the Implementation Committee, it may open an account in any commercial bank up to the limit of the amount specified by the Implementation Committee for the purpose of carrying out its daily office administration. 6. No restriction on bringing foreign currency: (1) No restriction of any kind shall be imposed on a licensed institution bringing into Nepal foreign currency required for international financial transactions. (2) Any restriction imposed by the prevailing law relating to foreign exchange shall not apply in respect of a licensed institution. 7.

Right to repatriate amounts: A licensed institution shall be entitled to repatriate outside Nepal Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. the foreign currency earned by conducting international financial transactions and the foreign currency brought into Nepal by such institution for international financial transactions. Provided that it shall not be entitled to repatriate assets or capital earned by doing any act determined to be illegal or unlawful. 8. Not to be nationalized: The capital or assets

of a licensed institution shall not be nationalized. 9. Constitution of Promotion Committee: (1) For the promotion of international financial transactions and development of Nepal as an international financial transactions centre, an International Financial Transactions Promotion Committee shall be constituted consisting of the following members:- (a) Minister for Finance or Minister of State for Finance - Chairperson (b) Deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. (c) Vice-Chairperson, National Planning Commission ? Member (d) Governor, Nepal Rastra Bank ? Member (e) Secretary, Ministry of Finance ? Member (f) Secretary, Amended by the Some Nepal Acts Amendment Act, 2075 to Make Conformable with the Constitution of Nepal. Ministry of Law, Justice and Parliamentary Affairs ? Member (g) One person nominated by the Government of Nepal from among persons who have gained experience in financial transactions ? Member (2) The Promotion Committee may invite domestic or foreign experts or consultants involved in international financial transactions to participate as observers in meetings of the Promotion Committee. (3) The term of office of the member nominated under clause (g) of subsection (1) shall be two years. (4) An officer of Nepal Rastra Bank, as prescribed by the Promotion Committee with the consent of Nepal Rastra Bank, shall act as Secretary of the Promotion Committee. (5) The procedure relating to meetings of the Promotion Committee shall be as prescribed. (6) The members of the Promotion Committee shall receive allowances and facilities as prescribed. 10.

Functions, duties and powers of Promotion Committee: The functions, duties and powers of the Promotion Committee shall be as follows:- (a) To determine necessary policies for the promotion of international financial transactions; (b) To assist the Government of Nepal in drafting necessary laws for the promotion of international financial transactions; (c) To establish or cause to be established coordination among relevant governmental, non-governmental and international bodies concerning the promotion of international financial transactions; (d) To provide necessary suggestions to the Government of Nepal relating to concessions, facilities and incentives to be provided to international financial institutions in order to establish Nepal as an attractive international financial transactions centre; (e) To hear appeals filed by an international financial institution against the suspension or cancellation of its license by the Implementation Committee; (f) To carry out other functions considered necessary for the promotion of international financial transactions. 11. Constitution of Implementation Committee: (1) For granting licenses to international financial institutions for conducting international financial transactions and for regulating the financial transactions conducted by such institutions, an International Financial Transactions Implementation Committee shall be constituted consisting of the following members:- (a) Governor, Nepal Rastra Bank ? Chairperson (b) Secretary, Ministry of Finance ? Member (c) Secretary, Amended by the Some Nepal Acts Amendment Act, 2075 to Make Conformable with the Constitution of Nepal. Ministry of Law, Justice and Parliamentary Affairs ? Member (d) One person nominated by the Government of Nepal from among chartered accountants ? Member (e) One person nominated by the Government of Nepal from among economists ? Member (2) The Implementation Committee may invite domestic or foreign experts or consultants involved in international financial transactions to participate as observers in meetings of the Implementation Committee. (3) The term of office of the members nominated under clauses (d) and (e) of subsection (1) shall be two years. (4) An officer of Nepal Rastra Bank, as prescribed by the Implementation Committee with the consent of Nepal Rastra Bank, shall act as Secretary of the Implementation Committee. (5) The office of the Implementation Committee shall be located at Nepal Rastra Bank. (6) The procedure relating to meetings of the Implementation Committee shall be as prescribed. (7) The members of the Implementation Committee shall receive allowances and facilities as prescribed. 12.

Functions, duties and powers of Implementation Committee: In addition to the functions, duties and powers elsewhere written in this Act, the other functions, duties and powers of the Implementation Committee shall

be as follows:- (a) To monitor and supervise whether a licensed institution is conducting international financial transactions in accordance with this Act and the rules made under this Act or other prevailing laws relating to international financial transactions; (b) To make suggestions to the Promotion Committee regarding facilities to be provided to international financial institutions in order to establish Nepal as an attractive international financial transactions centre; (c) To make suggestions to the Promotion Committee regarding reforms needed in the prevailing laws relating to international financial transactions in order to conduct international financial transactions in an effective and systematic manner; (d) To inspect whether the conditions to be complied with by a licensed institution under this Act have been fulfilled, and if not fulfilled, to cause them to be fulfilled; (e) To give necessary directions to a licensed institution relating to international financial transactions; (f) To obtain services of domestic or foreign experts and specialized bodies for the promotion and development of international financial transactions; (g) To comply with the directives given from time to time by the Promotion Committee; (h) If a licensed institution has violated this Act or the rules made under this Act or other prevailing laws relating to international financial transactions, to suspend or cancel the license obtained by such institution, as the case may be; Provided that before such cancellation, the institution concerned shall be given an opportunity to submit its defence. (i) To carry out other functions as prescribed to make international financial transactions effective. 13. Application to be submitted for permission: An international financial institution desiring to conduct international financial transactions shall submit an application to the Implementation Committee for permission to conduct such financial transactions, together with the prescribed application fee, in the prescribed format, accompanied by the prescribed details and documents. 14. Grant of permission: Upon receipt of an application for permission to conduct international financial transactions under section 13, the Implementation Committee shall make the necessary inquiry, and if it deems it appropriate to grant permission to conduct international financial transactions, it shall, after prescribing necessary conditions and collecting the prescribed license fee, grant a license in the prescribed format. If the license cannot be granted, the applicant shall be informed accordingly. 15.

May call for information, details or documents: Before granting a license to any international financial institution under this Act, the Implementation Committee may call for such information, details or documents as it deems necessary from such institution relating to the grant of permission to conduct international financial transactions. It shall be the duty of the concerned international financial institution to promptly submit the information, details or documents so called for by the Implementation Committee. 16. Renewal of license: A license granted to conduct international financial transactions under section 14 shall be renewed each year. The renewal fee for the license and other provisions relating to renewal shall be as prescribed. 17. Confidentiality to be maintained: (1) The Implementation Committee shall keep confidential all documents and information in its custody or control relating to a licensed institution. (2) The Implementation Committee shall not be compelled to produce before any court, commission of inquiry, Commission for the Investigation of Abuse of Authority or inquiry committee, or otherwise to breach the confidentiality of such documents or information. (3) Notwithstanding anything contained in subsection (2), if there are sufficient grounds proving that documents and information relating to international financial transactions conducted by a licensed institution are related to illegal drugs or illegal arms, the court may, upon the request of the officer authorized to prosecute on behalf of the Government of Nepal, order the production of such documents and information before the court. 18. Amount to be deposited in Consolidated Fund: The fees and other amounts received by the Implementation Committee under this Act shall be deposited in the Consolidated Fund. 19. May form sub-committees: (1) The Promotion Committee or the Implementation Committee may, as necessary, form sub-committees for the conduct of its work. (2) The functions, duties and powers, scope of work and procedure of the sub-committees formed under subsection (1) shall be as specified by the Promotion

Committee or the Implementation Committee forming such sub-committee. 20. Assistance to be provided: All government bodies shall provide necessary assistance to the Promotion Committee and the Implementation Committee in relation to the conduct of their work. 21. Delegation of powers: (1) The Promotion Committee may delegate any or all of the powers conferred on it by this Act or the rules or regulations made under this Act, as necessary, to any member of the Promotion Committee or to the Implementation Committee. (2) The Implementation Committee may delegate any or all of the powers conferred on it by this Act or the rules or regulations made under this Act, as necessary, to any member, sub-committee or any officer of the Implementation Committee.